

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

DEKO INTL, *Claimant*

v.

MAERSK, *Respondent*.

DOCKET NO. 2032(I)

Served: September 11, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING¹

On June 23, 2025, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), advising that Claimant DEKO INTL (“DEKO”) had filed an informal complaint against Maersk. DEKO alleges that Maersk violated 46 U.S.C. § 41102(c) by improperly imposing demurrage and detention charges against four containers shipped by DEKO.

Maersk was granted additional time until August 18, 2025, to file its response to the Claim, originally due by July 18, 2025. On August 18, 2025, Maersk notified the Office of the Administrative Law Judges that it had settled the Claim with DEKO and requested that the Claim be “referred to the Small Claims Officer for dismissal.” On August 27, 2025, the parties submitted a joint motion, asking that the proceeding be dismissed with prejudice. Accordingly, on September 11, 2025, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

The parties ask that the Claim be dismissed with prejudice, stating that they have amicably resolved their dispute. They explain that their settlement was reached through email discussions and was not memorialized in a formal settlement agreement. However, they submitted those email discussions for review together with their joint motion to dismiss. *See* Joint Motion to Dismiss (“Joint Motion”), Exhibit A.

Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted

¹ This Order will become final unless the Commission chooses to review it within thirty days of the date of service. 46 C.F.R. § 502.304(g).

with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's consistent policy is to "encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid." *Access One Transport, Inc., v. CMA CGM S.A.*, Docket No. 24-18, 2024 WL 5119296 at *1 (ALJ Dec. 10, 2024) (quoting *Inlet Fish Producers, Inv. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) and *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)). Although it generally follows this policy, "the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Access One*, 2024 WL 5119296 at *2 (quoting *Old Ben Coal*, 18 S.R.R. at 1093). A settlement agreement that does not violate any law or policy and is free of fraud, duress, undue influence, mistake, or other defect that might make it unapprovable would likely be approved. *Id.* "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134, 1988 WL 340657 at *7 (ALJ Aug. 12, 1988).

A review of the emails submitted by the parties indicates that Maersk will refund \$1,200 to Claimant, "represent[ing] the waiver of one day's demurrage charges for the four containers cited in the disputes." Joint Motion, Exhibit A at pgs. 6-7. In exchange, Claimant "agrees that Maersk (MSK) will submit a formal request to dismiss the claim on behalf of both parties." Joint Motion, Exhibit A at pg. 1. The emails do not show any indicia of fraud, duress, undue influence, or mistake, and appear to reflect an arm's-length resolution between the parties. The terms agreed upon appear to be fair, reasonable, and adequate. Accordingly, the settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

Upon consideration of the parties' Joint Motion, the attached exhibit, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

THERESA DIKE

Digitally signed by THERESA

DIKE

Date: 2025.09.11 14:10:21 -04'00'

Theresa Dike
Small Claims Officer